

UNIT
77

BUDGET REVIEW

CONVERSATION

Laura: Ethan, I reviewed the final budget. There must have been a cost overrun during the last quarter. Can you explain what happened?

Ethan: Sure. Our suppliers raised prices unexpectedly, especially on imported components. And that pushed costs higher.

Laura: Got it. And there's a budget shortfall of nearly \$500K. We might have underestimated some early expenses.

Ethan: Not exactly underestimated — but we had unforeseen expenses. The new safety regulations forced us to add an extra inspection phase.

Laura: That could have impacted the cash burn rate. It definitely accelerated.

Ethan: It did. Spending kept increasing week after week. We did have a contingency plan in place — just not enough financial reserves to cover everything though.

Laura: So the profit margin may have tightened because of that?

Ethan: Yes. The added inspections increased operational costs and delayed the delivery timeline, which reduced profitability.

Laura: What about forecasting? We might have missed early warning signs.

Ethan: The original forecast was solid, but the situation shifted faster than we anticipated.

Laura: I see. Still, something can't have happened correctly with logistics. The numbers seem unusually high.

Ethan: I agree. I'll double-check with that department and confirm by tomorrow.

Laura: Thanks, Ethan.



VOCABULARY



Cost overrun



Budget
shortfall



Forecast



Financial
reserves



Unforeseen
expenses



Contingency plan



Profit margin



Cash burn
rate

LANGUAGE PRACTICE

Modal of possibility for past situations

Our forecast **may have** been too optimistic from the start.

Yeah, we **might have** misread the market signals.



Must

May / Might / Could

Can't



BUDGET REVIEW

EXERCISE 1

Complete the gap by using each of the following once: cash burn rate, forecast, contingency plan, cost overrun, profit margin, unforeseen expenses, financial reserves, budget shortfall

- A. We faced a huge _____ because supplier prices increased unexpectedly.
- B. There is a _____ this quarter — revenue wasn't enough to cover spending.
- C. The new _____ shows lower sales next month.
- D. We don't have enough _____ to survive another delay.
- E. Customs fees were _____ that pushed costs higher.
- F. Luckily, we had a _____ to handle the supplier issue.
- G. Our _____ dropped from 20% to 8%.
- H. The _____ increased during the crisis — we were spending too fast.

EXERCISE 2

Use these modal verbs: might have / may have / could have — must have — can't have

- A. The supplier sent the invoice on time, so the delay _____ been their fault.
- B. We spent money much faster than expected. The cash burn rate _____ increased a lot.
- C. The office was closed during the holiday. The costs _____ gone up because of operations.
- D. We didn't include the new software fee. The budget _____ missed that information.
- E. We didn't check the numbers in detail. We _____ made a mistake early in the process.
- F. The team didn't know about the new regulation. They _____ planned for the extra inspection costs.

SUMMARY

Modal	Meaning	Certainty Level	Example
must have	We are sure it DID happen	Very certain (≈ 90–100%)	Costs <i>must have</i> increased.
may have / might have / could have	It's possible, but we don't know	Uncertain (≈ 20–60%)	We <i>might have</i> missed some expenses.
can't have	We are sure it did NOT happen	Impossible (0%)	Logistics <i>can't have</i> caused the problem.

EXERCISES ANSWER KEYS

Exercise 1

- A. cost overrun
- B. budget shortfall
- C. forecast
- D. financial reserves
- E. unforeseen expenses
- F. contingency plan
- G. profit margin
- H. cash burn rate

Exercise 2

- A. can't have
- B. must have
- C. can't have
- D. must have
- E. might have / may have / could have
- F. might have / may have / could have